



BUSINESS
SCHOOL

SKEMA

Financial Analysis and Decision Making

Global BBA Fall 2026

Jason Kang

Session 5: Bonds



About me

- ▷ Office: B3.09
- ▷ Office Hours: E-mail for appointment or walk-in for short queries
- ▷ jason.kang@skema.edu

New Class Rules



Plan For Today



- ▷ Bond Terminology

Bonds



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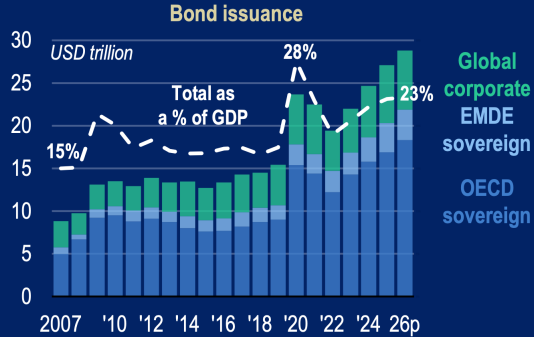
Example. In July 2026, Amazon raised \$25bn through a bond sale to finance its capital expenditures in AI investments. Terms include:

- ▷ Maturities ranging from 3 to 40 years
- ▷ At 65 to 145 basis points (.65-1.45%) above U.S. treasuries
- ↔ Coupon rates between 4.6 – 6.25%

Some Facts: Corporate vs Govt Bonds

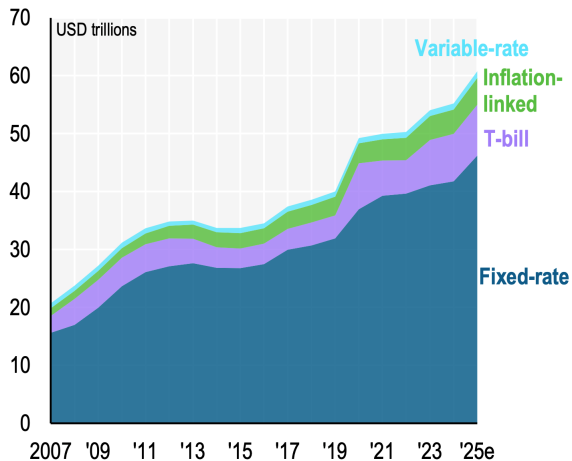


Sovereign and corporate bond issuance reached a record in 2025, with USD 29 trillion projected for 2026



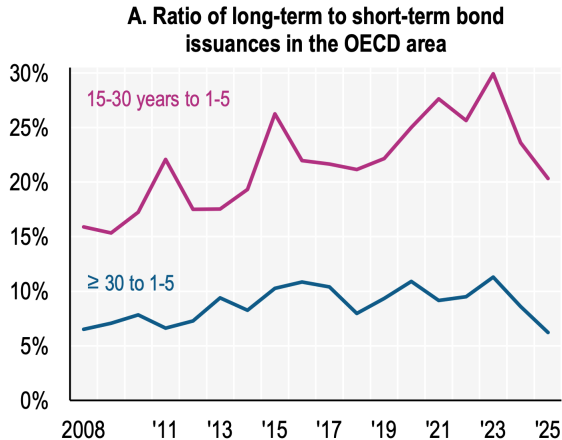
Source: Global Debt Report 2026, *OECD*

Some Facts: Total Issuance of Govt Bonds



Source: Global Debt Report 2026, *OECD*

Some Facts: Maturity of Govt Bonds



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Bond Terminology



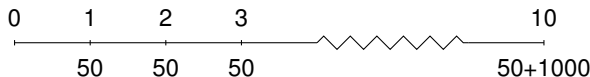
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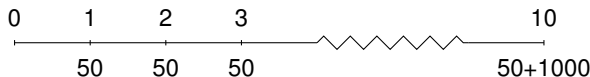
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Corporations. Investment-grade, junk, callable, convertible bonds.

Governments. Treasury bills, notes, bonds, municipal bonds (local)

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How to interpret? An investor pays \$783.53 today to receive \$1000 in 5 years. This gives a return of $(1000 - 783.53) / 783.53 = 27.6\%$, which, on an annual basis, is 5%.

Example



What is the price of a 2-year zero-coupon bond with a face value of \$1,000? Assume the relevant discount rate is 5%.

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($p = 907.03$)

Coupon Bond



A **coupon-bearing** bond is a bond that pays the holder periodic interest payments (called coupons), paid typically semi-annually or annually. The value of a coupon payment is given by:

$$\text{Coupon} = \frac{\text{Coupon Rate} \times \text{Face Value}}{\text{Number of payments per year}}$$

- ▷ The coupon rate is always quoted as an **annual rate**

Example



Suppose France issues a 5-year coupon bond with face value of €1000 and a coupon rate of 6% paid semi-annually.

- a. What cash flows will you receive?

Example



Suppose France issues a 5-year coupon bond with face value of €1000 and a coupon rate of 6% paid semi-annually.

- b. Assume the relevant discount rate is 5%. What is the value of this bond?

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b. Assume the relevant discount rate is 5%. What is the value of this bond?

$$p = \underbrace{\frac{C}{r} \left[1 - \left(\frac{1}{1+r} \right)^T \right]}_{\text{PV of coupon payments}} + \underbrace{\frac{F}{(1+r)^T}}_{\text{PV of face value}}$$

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$$p = 845.57$$

Consol Bond



A **consol** bond is a bond that pays a fixed coupon forever and never repays its face value.

Yield-to-Maturity (YTM)



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Suppose the price today of a 2-year coupon bond with $F = 1000$, $C = 60$ is $p = 981.92$. Then,

$$p = 983 = \frac{60}{1+y} + \frac{1060}{(1+y)^2} \Rightarrow y = 7\%$$

Important info re: YTM



- i The YTM is the average rate of return of purchasing a bond today and **holding the bond to maturity** while reinvesting intermediate coupon payments.

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- ii Memorize the below

When the bond price is	We say the bond trades	This occurs when
greater than the face value	“above par” or “at a premium”	Coupon Rate > Yield to Maturity
equal to the face value	“at par”	Coupon Rate = Yield to Maturity
less than the face value	“below par” or “at a discount”	Coupon Rate < Yield to Maturity

Important info re: YTM



ii (Continued)

- Due to the time-value of money, a zero-coupon must always trade at a discount.

Important info re: YTM



ii (Continued)

- Due to the time-value of money, a zero-coupon must always trade at a discount.
- A coupon-bearing bond trades at “par” if the coupon rate = yield-to-maturity of that bond.

Important info re: YTM



- iii Mechanically, there is an inverse relationship between the bond price and its yield

Example



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$p=176.86$

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